

Chapter 13: Manufacturing and Tourism Industries in Nepal

Concept and Types of Industry

The industry is a group of manufacturers or businesses that produces a particular kind of goods or services by the use of factors of production. An industry is considered as a group of similar businesses. It is an organized form that produces goods or services for sale.

Types/Classification of Industry

Based on the fixed assets of the industries, the industries are classified into five types as follows:

1. Micro-enterprise
2. Cottage industry
3. Small scale industries
4. Medium-scale industries
5. Large scale industries

Based on the nature of goods or services produced by the industries, the industries are classified into eight types as follows:

1. Energy-based industries
 2. Production-oriented industries
 3. Industries based on Agriculture and Forestry
 4. Mineral industries
 5. Infrastructure industries
 6. Tourism industries
 7. Information, communication, and information transmission technology-based industries
 8. Service-oriented industries
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A Brief History of Industrial Development in Nepal

Many traditional cottage and small scale industries related to crafts, woods, and metals were established from the very beginning of civilization in Nepal. The history of organized industrial development in Nepal dates back to **1936 AD** during the reign of Rana Prime Minister **Juddha Shamsheer Rana**. He is known as the father of industry in the industrial history of Nepal.

In **1936 AD**, with the joint venture of Indian and Nepali entrepreneurs, a **jute mill** was established in **Biratnagar**. After the end of the Rana regime in **1951 AD**, the then Government of Nepal took initiation for the development of the industrial sector by formulating various plans and policies.

The **First Development Plan (1956 AD)** set a milestone in the process of industrialization in Nepal. To encourage and assist the development of private industry, favorable policies and acts were passed. Many industries were established under the financial and technical assistance of **China and Russia** in the form of public enterprises.

However, after the establishment of democracy in **1990 AD**, the Government of Nepal enacted **Economic Liberalization Policy and Act** and started the **privatization of public enterprises**. Currently, the Government of Nepal has approved the **Detailed Project Report of industrial estates** in **Mayurdhap of Makwanpur, Motipur of Rupandehi, and Nababasta of Banke district**, and has enacted the **Industrial Enterprise Act, 2020**.

Importance of Industrial Sector in Nepal

The role or importance of the industrial sector for the economic development of Nepal can be outlined as follows:

1. Increase in national income
 2. Development of other sectors
 3. Increase in employment
 4. Utilization of natural resources
 5. Increase in government revenue
 6. Increase in foreign exchange reserve
 7. Improvement in balance of payments
 8. Large scope for technological progress
 9. Higher standard of living
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Problems of Industrial Sector in Nepal

Industrial sector has great importance for the overall development of Nepal; however, this sector is not well developed due to the following problems:

1. Lack of capital investment
 2. Lack of industrial infrastructures
 3. Lack of skilled and trained manpower
 4. Shortage of raw materials
 5. Energy crisis
 6. Competition with foreign products
 7. Security concerns
 8. Environmental concern
 9. Open border with India
 10. Government's concern
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Tourism Industry

The tourism industry is an industry related to tourism services.

Importance of Tourism Industry

The importance or role of the tourism industry in the context of Nepal is outlined below:

1. Growth in economic activities
2. Source of employment generation
3. Source of foreign exchange earnings
4. Infrastructure development
5. Increase in private income and government revenue
6. Cultural growth
7. Global connectivity
8. Growth in handicraft industries

9. Improvement in the living standard of the people

Present Situation of Tourism Industry

Present situation of the tourism industry can be viewed with the help of tourism sector's output indicators such as:

- Tourist arrival and length of stay
 - Tourist arrival by purpose of visit
 - Tourist arrival by country
 - Foreign currency earnings from the tourism sector
 - Tourism agencies and guides
 - Number of mountaineering expedition teams and mountaineers
 - Amount of royalty
 - Number of hotels and hotel beds
 - Trained manpower
 - New settlements in the tourism sector
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Prospects of Tourism Industry

There is a great prospect of the tourism industry in Nepal due to the following reasons:

1. Natural beauty
 2. Climatic variety
 3. Cultural variety
 4. Religious places
 5. Ancient art and culture
 6. Wildlife
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Problems of Tourism Industry

The problems of the tourism industry in Nepal are as follows:

1. Lack of transport and communication facilities
2. Lack of quality hotels
3. Lack of trained manpower
4. Lack of recreation centres
5. Lack of publicity and advertisement
6. Lack of development of tourism sites
7. Lack of security
8. Pollution

Measures to Solve the Problems of Tourism Industry

The measures that should be taken to solve the problems of the tourism industry are as follows:

1. Development of transport and communication facilities
2. Development of quality hotels
3. Development of trained manpower
4. Development of recreational centres
5. Control of pollution
6. Security
7. Publicity and promotion